# Feasibility study: Riverside Community Kitchen

## Executive Summary

This study tests whether Riverside Community Kitchen should proceed. Open a community kitchen that serves 200 meals a week. It is built from three declared tables: the market and demand, the investment and operating cost, and the returns the frozen break-even method produces. At the declared demand of 12,000 units and a price of USD 8.00, revenue is USD 96,000.00; break-even is 4,800 units.

## Project Description

Project: Riverside Community Kitchen. Open a community kitchen that serves 200 meals a week. Location: Riverside. Proponents: Alex Rivera.

## Market Feasibility

Target market: local households. The declared demand is the expected volume used in the computation; no market share is inferred and no market is forecast.

| Item | Value |
|---|---|
| Target market | local households |
| Declared demand (units a year) | 12,000.00 |
| Price per unit | USD 8.00 |
| Revenue at the declared demand | USD 96,000.00 |

## Financial Feasibility

The cost table carries the declared investment and the two operating figures. The returns are the frozen break-even method's own values, at a constant price and unit cost, for one product; tax and financing are not modelled.

| Item | Amount |
|---|---|
| Kitchen fit-out | USD 30,000.00 |
| Equipment | USD 18,000.00 |
| Working capital | USD 6,000.00 |

| Item | Amount |
|---|---|
| Total investment | USD 54,000.00 |
| Fixed cost a year | USD 24,000.00 |
| Variable cost per unit | USD 3.00 |

## Returns at the Declared Figures

| Metric | Value |
|---|---|
| Revenue at the declared demand | USD 96,000.00 |
| Contribution margin per unit | USD 5.00 |
| Break-even volume | 4,800.00 units |
| Break-even revenue | USD 38,400.00 |
| Margin of safety | 7,200.00 units |
| Margin of safety ratio | 60.0% |

## Risk Analysis

The owner names the following risks: Permit delay; Equipment lead time.

## Conclusion

The study states the declared market, the declared cost and the returns they produce. Revenue at the declared demand is USD 96,000.00; break-even is 4,800 units, or USD 38,400.00. The margin of safety is 60.0% of the declared demand. At the declared figures the project is above break-even; whether to proceed is the reader's decision.

## References

No sources were used.